Hundred Dollar Oil

WTI hit $120 overnight. Hormuz closed. Kuwait force majeure. Fear & Greed at 8. BTC holds.

MARKETS

THE LARGEST OIL SUPPLY SHOCK IN HISTORY. WTI crude touched $120/barrel overnight—its highest since the 2008 financial crisis—before pulling back to ~$100 on reports the G7 is weighing a coordinated release of 400 million barrels of emergency reserves. Brent hit $119 before settling around $105. USO +9.18%, BNO +10.22%. US crude is up 35% in a single week—the biggest weekly gain in futures history dating back to 1983.

The trigger: Kuwait, UAE, and Qatar have all declared force majeure, pulling back energy production amid the Strait of Hormuz closure. Iraq's three main oilfields saw production collapse 70%—from 4.3M bpd to 1.3M. Israel struck oil depots in Tehran. An estimated 20 million barrels per day are affected. This is not a temporary disruption; it's a structural supply crisis until the Strait reopens.

Markets opened ugly: Dow futures were down 900 points overnight. The Dow is now –1.2%, S&P –1.0%, Nasdaq –0.8%. VIX topped 30 for the first time since the April tariff selloff. Nikkei crashed 5.2%, Kospi –6%, Europe –2–3% across the board. All 11 S&P sectors are red, led by industrials (–1.32%), materials (–1.28%), and financials (–1.17%). Energy is the least bad (–0.05%).

Trump dismissed the oil spike as a very small price to pay for world safety. He downplayed any SPR release. Energy Secretary Chris Wright claims the Strait will reopen in weeks. NATO intercepted a ballistic missile entering Turkish airspace—a potential Article 5 trigger that could drag Europe into the conflict.

Gas prices have risen 17% since the war began to $3.48/gallon nationally. Goldman's $100 Brent call from two weeks ago is now the base case, not the tail risk. If G7 reserves are deployed, oil could pull back to $85–90. If not, $120+ is in play.

IOWN Tactical: S&P at ~6,760 (SPY $667.45). Now down ~7% from recent highs. Still above our –20% buy trigger (~5,500). The pattern from last week—intraday violence followed by close-to-close resilience—is being tested. This feels different. The supply shock is structural, not headline-driven. Stay alert but don't panic. Research Reveals Opportunities.

IOWN HOLDINGS: THE SESSION

BROAD-BASED PAIN. 46 OF 51 HOLDINGS IN THE RED. Only 5 green names: COIN +1.48% ($200.14), IBIT +1.09% ($39.02), ETHA +2.01% ($15.23), FTNT +0.85% ($84.38), and CNX +0.65% ($41.76). The winners tell the story: crypto as safe haven, cybersecurity from war demand, and natural gas from the energy crisis.

The damage is broad: MATX –3.38% ($147.82)—shipping is in crisis with Hormuz closed. STLD –2.40% ($177.26)—steel hit by tariff + oil input cost fears. CAT –1.89% ($668.00)—down $62 from its highs, global capex fears. PCAR –2.22% ($117.76), SYF –2.38% ($65.08), TEL –2.21% ($201.31). These are all cyclicals repricing for a potential stagflationary environment.

Semis held relatively well: NVDA –0.15% ($177.55), AMD –0.86% ($190.77), TSM –0.65% ($336.69). The AVGO $100B AI thesis is providing a floor. But LRCX –1.30%, ADI –1.47%, NXPI –0.98%—the equipment and analog names feel the macro pressure more.

Defense held: LMT +0.17% ($672.91), GD +0.03% ($363.61). These are doing their job as hedges. CVX flat ($189.99)—refiners oddly not participating in the oil rally because the crude/product spread is narrowing with demand fears.

Benchmarks: DVY –1.06%, IWS –1.08%, IUSG –0.69%. Value getting hit harder again. Our growth hybrid is outperforming both benchmarks. Simplicity Over Complexity.

DIGITAL ASSETS

BTC $68,794 (+2.45% 24h). ETH $2,018 (+4.18% 24h). THE DIVERGENCE IS REAL. On a day when every equity index is deep red and oil is up 10%, Bitcoin is green. IBIT +1.09%, ETHA +2.01%, COIN +1.48%. Crypto is trading as a non-sovereign safe haven for the first time in a genuine geopolitical crisis.

Fear & Greed at 8—back to single digits. This is the second time in two weeks we've hit single digits. BTC dominance at 56.7%, total crypto market cap $2.43T. The narrative is shifting: BTC is not a risk asset today. It's digital gold. Our IBIT, ETHA, COIN, MARA, and HUT positions are the only green in the portfolio.

HUT is the outlier at –4.12%—likely selling on the broader tech tape and profit-taking from last week's +14% surge. MARA +0.50%. The structural thesis is intact: when sovereign currencies face energy-inflation debasement pressure, decentralized assets catch a bid.

GEOPOLITICS

DAY 10. THE WAR HAS BECOME AN ENERGY WAR. This is no longer about regime change rhetoric. Kuwait, UAE, and Qatar have declared force majeure. Iraq's production collapsed 70%. Israel hit oil depots in Tehran. Iran named a new supreme leader and is digging in. The Strait of Hormuz remains closed.

NATO intercepted an Iranian ballistic missile entering Turkish airspace—an escalation that brings Europe closer to the conflict. French President Macron is reportedly coordinating ship escorts to reopen Hormuz. The G7 finance ministers are discussing a coordinated release of emergency petroleum reserves (400M barrels). If deployed, this could temporarily cap oil at $90–100.

Trump is not backing down. He called the oil spike a small price to pay and downplayed any SPR release. Energy Secretary Wright says disruption should last weeks. But Energy Secretary promises and market reality are diverging—hundreds of ships remain stuck in the Gulf.

ON OUR RADAR

1. **This is the oil shock we war-gamed.** $100+ oil was our tail risk scenario. It's here. The question now: is this the peak (G7 reserves, Hormuz reopening) or the beginning ($120–150 if the Strait stays closed for months)? Energy Secretary Wright says weeks. Iran says months. Position accordingly.
2. **BTC's safe-haven bid is the week's most important signal.** Green on a day everything else is red. Fear & Greed at 8. If BTC holds $68K+ through a $120 oil shock, the digital gold thesis graduates from theory to fact. Our crypto sleeve is the portfolio's only bright spot.
3. **G7 reserve release is the binary catalyst.** 400M barrels could push oil back to $85–90 temporarily. If announced, buy the dip in cyclicals aggressively. If not, the stagflation trade deepens—long energy, short everything else.
4. **VIX above 30 for the first time since April.** Historically, VIX spikes above 30 have marked intermediate-term buying opportunities within 1–3 months. The market is pricing in worst-case. If the worst case doesn't fully materialize, the snapback will be violent.
5. **Our defense names are doing their job.** LMT +0.17%, GD flat. In a portfolio down 1%+, flat is the new alpha. The war premium in defense is structural, not speculative. These are Avoid Erosion holdings.
6. **Consumer inflation expectations data at 10 AM today.** If expectations spike on the oil shock, the Fed is locked at zero cuts for 2026. If expectations remain anchored, the market can hold. This is the most important sentiment datapoint of the week.

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